



 **Time:** 5 minutes

 **Outcome:** Determine Domestic Production, Consumption & Trade Quantities.

Difficulty:  Intermediate

Domestic Production, Consumption & Trade Quantities



THE CORE IDEA

At the world price, read domestic consumption from demand and production from supply. Imports fill any excess of consumption over production; exports absorb excess production over consumption. Use the same world price for both readings.



HOW TO RECOGNIZE IT

- Compare world price with the no-trade equilibrium price.
- Read consumption and production at the world price.
- Consumption above production means imports; production above consumption means exports.

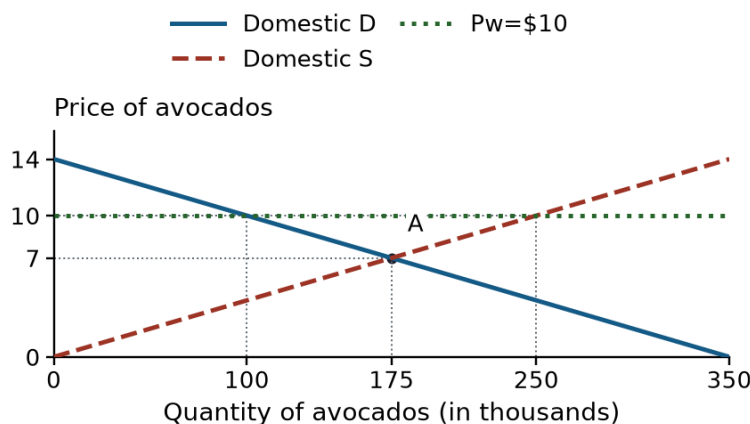


WATCH OUT

When world price exceeds the no-trade price, domestic production exceeds consumption: the difference is exports. This free-trade example has no tariff revenue.



WORKED EXAMPLE: CALCULATING EXPORTS



Without trade, domestic supply and demand intersect at \$7 and 175 thousand avocados. At the \$10 world price, domestic consumers buy 100 thousand while domestic producers supply 250 thousand. The country exports the difference: $250 - 100 = 150$ thousand avocados.



CHECK YOURSELF

Using the avocado export-market graph, what are domestic production, domestic consumption, and exports at $P_w = \$10$?



READY?

Return to the game and master this concept.